

FEDERAL MARITIME COMMISSION

DOCKET NO. 25-03

EUROMARKET DESIGNS INC.

V.

MSC MEDITERRANEAN SHIPPING COMPANY, S.A., ET AL.

**REPLY OF RESPONDENT
WAN HAI LINES LTD. TO
COMPLAINANT’S OPPOSITION TO WAN HAI’S MOTION FOR PARTIAL
DISMISSAL**

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Respondent Wan Hai Line LTD. (“Wan Hai”), through undersigned counsel, hereby replies to the opposition of Complainant Euromarket Designs Inc. (“EDI” of “Complainant”) to Wan Hai’s motion for partial dismissal.¹

I. Introduction And Summary of Argument

Despite arguments to the contrary in EDI’s opposition (the “Opposition”) to Wan Hai’s motion (the “Motion”), EDI’s complaint (the “Complaint”) fails to allege sufficient facts to make a plausible claim of an unreasonable refusal to deal. As an initial matter, EDI misstates the legal standard required to survive a motion for dismissal as defined by the FMC. In addition, the factual allegations in the Complaint and cited in the Opposition are ambiguous and insufficient to permit EDI’s claim of an unreasonable refusal to deal to survive the Motion or are irrelevant to that claim.

¹ Complainant’s opposition also addressed the non-dispositive portions of Wan Hai’s motion. Since Commission regulations do not contemplate replies to opposition to non-dispositive motions, this Reply is limited to the opposition to the dispositive portion of Wan Hai’s motion.

II. Argument

A. The Applicable Legal Standard

The parties agree that the version of Section 41104(a)(10) in effect prior to June 16, 2022, applies in this proceeding. That statutory provision made it unlawful for a common carrier to “unreasonably refuse to deal or negotiate.” In order to survive a motion to dismiss, EDI must plead “enough facts to state a claim for relief that is plausible on its face.” *Maier Terminals, LLC v. the Port Auth. of New York and New Jersey*, Docket No. 12-02, 2015 WL 9426189, at *12 (FMC Dec. 18, 2015) (quoting *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007)). Facial plausibility requires factual content that allows a court “to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Id.* (quoting *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009)). EDI’s Complaint fails to meet this standard. Furthermore, as EDI notes in its Opposition, “[t]he focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim.” *MCS Industries, Inc. v. COSCO SHIPPING Lines Co.*, FMC Dkt. No. 21-05, 2022 WL 458569, at *4 (FMC C.A.L.J. Feb. 4, 2022) (“*MCS Industries*”).

The relevant version of Section 41104(a)(10) simply requires that a common carrier must not shut out persons for reasons not related to “legitimate transportation factors.” The Commission has held that:

In interpreting the prohibition against unreasonable refusals to deal, the FMC has stated: The Act does not guarantee the right to enter into a contract, much less a contract with any specific terms; such a right has not existed either before or since the passage of the OSRA. All that is required is that common carriers . . . refrain from ‘shutting out’ any person for reasons having no relation to legitimate transportation-related factors.

New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans, 29 S.R.R. 345, 351 (ALJ 2001), aff’d 29 S.R.R. 1066 (FMC 2002), aff’d *New Orleans Stevedoring Company v.*

Federal Maritime Commission, 30 S.R.R. 1066 (D.C. Cir. 2002).

Moreover, the most recent holding interpreting the current version of Section 41104(a)(10), which includes an element that a common carrier must have unreasonably refused to deal or negotiate, did not interpret this statutory provision as broadly as EDI alleges. Instead, in *Samsung Electronics America, Inc., Complainant v. Orient Overseas Container Line Limited And OOCL (Europe) Limited*, the ALJ concluded that Samsung had failed to plead facts sufficient to sustain the necessary elements of a refusal to deal/negotiate and unreasonableness because “factual material describing [a common carrier’s] vessel-space accommodation practices, or any specific attempts at negotiations or communications that occurred, any specific non-transportation factors that played a role in those discussions, or unreasonable rates that [the carrier] quoted, or any other non-conclusory allegations” were necessary to survive a motion to dismiss. Docket No. 24-17, 2024 WL 4893409, Order Partially Granting Motion to Dismiss (ALJ Nov. 18, 2024)(“*Samsung*”). Despite the application of the earlier version of Section 41104(a)(10) in this proceeding, the *Samsung* holding is relevant because it addresses the degree of specificity to support a common element of the two forms of the statute: an unreasonable refusal to deal or negotiate.

B. EDI Does Not Allege that Wan Hai Failed to Provide Space or that Wan Hai Imposed Premium Charges

EDI asserts that it alleged “in detail” various acts that plausibly state a claim for an unreasonable refusal to deal or negotiate. Opposition at 15. EDI cites to Paragraphs 48 and 49 of its Complaint as a basis for this position. However, these paragraphs relate to Complainant’s allegations against the Service Contract Respondents. Wan Hai is identified in the Complaint as a Non-Service Contract Respondent and is not alleged to have engaged in the conduct detailed in those paragraphs. Accordingly, regardless of whether the allegations in Paragraphs 48 and 49 may provide sufficient detail to support a claim against the Service Contract Respondents, they are not

applicable to Wan Hai and therefore cannot support a claim of unreasonable refusal to deal or negotiate against Wan Hai.²

C. EDI's Allegations with Respect to Demurrage/Detention Charges Are Defective

EDI's allegations with respect to demurrage and detention charges are insufficient to make out a plausible claim of unreasonable refusal to deal for both legal and factual reasons.

Claims for an unreasonable refusal to deal based on demurrage and detention charges have been dismissed in other cases. *See Samsung*. In *Samsung*, the ALJ held that the complainant failed to state a plausible claim of an unreasonable refusal to deal where it failed to allege any facts supporting a failure by the carrier to engage in good faith negotiations or that any such refusal was not based on legitimate transportation factors. *Samsung* at *12. Here, as explained below, EDI's Complaint suffers from the same defect.

In Paragraph 53 of the Complaint, EDI asserts that "The Non-Service Contract Respondents' assessment of the Charges or a substantial majority thereof and the alleged acts or omissions of the Non-Service Contract Respondents that led to the assessment of such Charges also constitute violations." However, EDI provides no factual detail (in its Complaint or even in its Opposition) as to these "acts or omissions". Similarly, in Paragraph 177 of the Complaint, EDI argues that all Respondents engaged in refusals to deal by "refusing to accommodate Complainant's requests for full or partial refunds of unreasonable demurrage and detention Charges." Hereto, the Complaint is devoid of any detail or factual allegations to support this conclusory claim, including any assertion whatsoever that Wan Hai failed to engage in good faith

² In this regard, contrary to EDI's assertion in its Opposition, Wan Hai did not assert in its motion that "refusal to deal allegations [are] limited to the context of a service contracts." Opposition at 14. Rather, Wan Hai noted that there was no service contract in place between Wan Hai and EDI because almost all of the allegations relied upon by EDI in support of its claims under Section 41104(a)(10) relate to alleged conduct by Service Contract Respondents and because the fact that the parties did not even have a direct contractual relationship only serves to highlight that EDI has not asserted that Wan Hai ever refused to deal with EDI.

negotiations or that its alleged refusal to refund charges was not based on legitimate transportation factors.

Rather than pleading with the specificity required to support a plausible claim, in the very limited portions of the Complaint that even relate to Wan Hai, EDI asserts only that “Wan Hai acknowledged ongoing challenges with terminal operations for empty equipment returns” and “recommended maximizing dual transactions, either with Wan Hai imports or imports from other carriers, to facilitate returns”, but that “these recommendations failed to address the systemic delays and restrictions that left Complainant unable to avoid detention and demurrage Charges despite its best efforts.” Complaint at 170. EDI characterizes this as Wan Hai’s “wrongful imposition of the Charges”. Complaint at 171. Regardless, none of these paragraphs actually allege that Wan Hai refused to deal or negotiate. At most, these paragraphs might state a plausible claim that any demurrage charges attributable to the complained of issues should be considered unreasonable but are not relevant to any claim under Section 41104(a)(10).

To the extent that EDI’s allegations relate to detention and demurrage, they do not support a claim under Section 41104(a)(10) because they do not allege that EDI was shut out by Wan Hai and do not relate to vessel space accommodations. These allegations are merely generalized frustrations that do not individually (or collectively) amount to a sufficient pleading with respect to Section 41104(a)(10).

III. Conclusion

For the reasons set forth above, EDI’s claim against Wan Hai under Section 411014(a)(10) should be dismissed.

Respectfully submitted,

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Dated: February 25, 2025

CERTIFICATE OF SERVICE

I hereby certify that a copy of the foregoing Reply was served upon the following via email transmission this 25th day of February, 2025.

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